Tutorial note

Operating cost ratio + Operating profit ratio = 100%

Illustration 15

Calculate operating profit ratio under the following cases.

Case 1: Revenue from operations ₹ 10,00,000, Operating profit ₹ 1,50,000.

Case 2: Revenue from operations ₹ 15,00,000, Operating cost ₹ 12,00,000.

Case 3: Revenue from operations ₹ 20,00,000, Gross profit 30% on revenue from operations, Operating expenses ₹ 4,00,000

Solution

$$\text{Case 1: Operating profit ratio} = \frac{\text{Operating profit}}{\text{Revenue from operations}} \times 100$$

$$= \frac{1,50,000}{10,00,000} \text{ x } 100 = 15\%$$

$$\text{Case 2: Operating profit ratio} = \frac{\text{Operating profit}}{\text{Revenue from operations}} \times 100$$

$$= \frac{3,00,000}{15,00,000} \times 100 = 20\%$$

Operating profit = Revenue from operations – Operating Cost
= 15,00,000 – 12,00,000 = ₹ 3,00,000

$$\text{Case 3: Operating profit ratio} = \frac{\text{Operating profit}}{\text{Revenue from operations}} \times 100$$

$$= \frac{2,00,000}{20,00,000} \times 100 = 10\%$$

Gross profit $= 20,00,000 \times \frac{30}{100} =$ ₹ 6,00,000

Operating profit = Gross profit – Operating expenses

Operating profit = 6,00,000 – 4,00,000 = ₹ 2,00,000

(iv) Net profit ratio

Net profit ratio is the percentage of net profit on revenue from operations. It is calculated as under:

$$\text{Net profit ratio} = \frac{\text{Net profit after tax}}{\text{Revenue from operations}} \times 100$$

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